



need to create the right environment for such talent to flourish and at the same time reap benefits for the mutual fund holders.



Destructive Environment

A mutual fund manager manages the money of investors whom he has not even seen. It is the sales team and third party distributors who bring in the investors. In a situation where fiduciary responsibility is very important, not knowing the investor whose money he is managing can call his commitment into question. Mutual fund managers have a pile of cash to be invested in the stock markets. Naturally, brokers, company managements and other operators chase them with quick money ideas. With so much attention being showered on them, there is a danger that they could overestimate their abilities and performance. Sometimes the rewards for performance could also make them overconfident. It is true that we cannot blame the fund manager but the point is when there are so many good professionals in the field, they should not be forced to operate in a less than conducive environment.

The business of a broker is dependent upon the amount of resources he is able to mobilise for the fund. Hence brokers may try to sell a fund to investors not because it is a good investment but in order to generate business from the purchase and sale of stocks. The fund manager and the broker please each other for their own benefit and in the process it is the investor who suffers. The development of the mutual funds concept was perfect for its time. The idea was to pool together the resources of investors and invest it in the stock markets. Professional fund managers backed by strong research would handle the investments. Thus the investors were assured of the services of professionals. But times have changed. Levels of education have improved. Information flow has increased. Internet enables exchange of information in real time. Online trading enables real time execution. Chat sites help investors discuss their views and seek opinions. The power of knowledge has shifted from the hands of a few to those of the masses. We now have a web of smart professionals with new